

NATIONAL PENSION SCHEME

NPS is a Government-run scheme that focuses on retirement planning of professionals and the self-employed. Under NPS, the amount can be invested in select asset classes as identified by the scheme. The person keeps depositing money every year in his account which keeps on compounding. On retirement, the corpus is distributed as a pension to the beneficiaries.

HOW IT WORKS?

A person opens a pension account which is managed by the Pension Fund Regulatory and Development Authority (PFRDA). They keep depositing the money in the same account with strict withdrawal restrictions. They can select the asset class where they want their money to be invested and based on the asset class selection, returns are generated. Once they start approaching their retirement age, they start receiving cash payments in the form of a pension to support their expenses.

A person below the age of 60 can only withdraw up to 20% of the entire corpus and the rest converts automatically to an annuity (i.e. financial instrument that pays out a regular and fixed dividend). A person above the age of 60, can withdraw a maximum of 60% as a lump-sum and the rest 40% will be converted to an annuity. Payments from the annuity help meet an individual's expenses. Such restrictions on withdrawal enforce discipline from the individual's end.



Below 60 years

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Withdraw
Maximum 20% of
Entire corpus lump sum

Rest - annuity

Above 60 years

↓
Withdraw
Maximum 60 % of
Entire corpus lump sum

Rest - annuity